Frequent Asked Questions Regarding After Hours Futures Trading (AHFT) Consultation Conclusions

1. **What are the key comments from respondents who supported AHFT?**

   Response: Key comments from respondents who supported AHFT were that the introduction of AHFT would provide trading/hedging opportunities to investors in case there is a big event happening in the European or US market and that the client base and after-hours business would be increased. Some also commented that the AHFT could reduce the volatility in the next day's opening as some investors would have hedged or adjusted their positions in the AHFT session in response to news and events in the European or US time zones.

2. **What are the key comments from respondents who did not support AHFT?**

   Response: Some respondents who did not support AHFT raised concerns on the operational arrangements and the potential excessive market movements during after-hours trading.

3. **What are the products for AHFT?**

   Response: HSI futures and HHI futures will be introduced initially.

4. **What would be the trading hours for AHFT?**

   Response: The trading hours for T+1 Session will be 5:00 pm to 11:00 pm.

5. **Is there any plan to introduce after-hours trading for other derivatives products?**

   Response: Some respondents suggested that Mini HSI futures, Mini HHI futures and index options should be introduced at the initial stage. Our view is that when the trading liquidity of the standard HSI and HHI futures is built up in the T+1 Session, we will further assess the market demand for Mini contracts in T+1 Session and decide in due course.

6. **Is there any plan to introduce after-hours trading for cash market?**

   Response: No, there is no such plan to introduce after-hours trading for cash market and we have not seen any after-hours trading needs in the cash market.

7. **Would there be any possibility of excessive price movement in AHFT as the activities during AHFT is expected to be lesser than the day time?**

   Response: We foresee that the liquidity and activities during AHFT might be lower than that in the day time. However, as the AHFT proposal received strong support from Futures EPs which accounted for 80% of market share in HSI and HHI futures in H1, 2011, HKEx believes that many Futures EPs and investors will participate in AHFT and they will monitor the market prices during AHFT for trading or hedging opportunities. This trading participation should help in guarding against market manipulation. In the event that there are any abnormal price deviations, these market participants will consider these as profit opportunities and trade to counter the price deviation.

In addition, HKEx will introduce a price limit up/down mechanism for AHFT in view of some market participants' concern on excessive price movement in AHFT.

8. **Why would there be a price limit up/down mechanism for AHFT? Would price limit mechanism be introduced in T Session as well?**

Response: We believe a price limit will provide some assurance to EPs/CPs that the client margin would not be exhausted by any excessive price movement in the T+1 Session. In general, the minimum clearing house margin for stock index futures is 5% (minimum client margin is 6%). If the price limit is set at up/down 5%, EPs/CPs might have an additional safeguard in terms of client margin management. After the market opens on the next day and banking services are available, EPs/CPs can handle their clients' margin in the usual way. From clients' point of view, their open positions would not be force-closed out during the T+1 Session due to exhaustion of margin deposit with their brokers.

Major derivatives exchanges also have similar price limit arrangements in their after-hours index futures trading.

The price limit up/down mechanism is as follows.

a) No sell order of price below 95% and no buy order of price above 105% of the last traded price of the spot month contract in the T Session are allowed in the T+1 Session.

b) The percentage for the price limit up/down is 5% (the historical differences between the daily opening prices and previous closing prices of spot months of HSI futures and HHI futures between 2005 and 2011 (up to 10 June), exceeded 5% on average about once per year and 4 times per year respectively and those incidents happened mostly during the 2008 and 2009 financial turmoil).

c) Trading (for all contract months) will be allowed only within the price limit range during the T+1 Session.

d) The price limit of 5% will be reviewed after implementation.

Trading in T Session would not be subject to this price limit up/down mechanism.

9. **Is it compulsory for EPs to participate the AHFT?**

Response: It is not compulsory for EPs to participate the AHFT as different EPs may have different considerations such as their clients' trading interest and operational / resources requirements. Whether to participate in AHFT is a business decision for each EP to make on its own. We anticipate that for EPs which are currently offering European or U.S. derivatives trading for their clients, AHFT will be an opportunity to expand their existing business with limited operational impact.

10. **What should be done for EPs without night desk operations?**

Response: For EPs currently without night desk operations, they may consider the needs of their clients and the potential business prospect and decide whether they will participate or only provide limited services to their clients in after hours trading. In any event, EPs should ensure that they observe the SFC's Code of Conduct when dealing with clients on all matters in relation to the AHFT.

11. **What is the impact to those EPs that decide not to participate?**

Response: Those EPs should assess the business opportunities in AHFT and their services to be provided to their clients during the AHFT. If they decide not to participate in AHFT, they need to ensure that their clients are aware that they would not accept clients' orders during and for the T+1 Session. They may face pressure from their clients who would like to participate in T+1 Session and they may run a risk in losing these clients too.

12. **When will AHFT take place?**

Response: AHFT will tentatively take place in the second half of 2012, subject to the approval of the necessary rule amendments by the SFC and market readiness. Detailed implementation plans and schedules will be announced in due course.

13. **What should be done for EPs interested to participate AHFT?**

Response: EPs which would like to participate in AHFT should prepare their systems and be ready for market rehearsals by mid-2012 and, where applicable, to arrange human resources to support AHFT.

14. **What would be the clearing arrangement for AHFT?**

Response:

i. Clearing of Trades Executed in T+1 Session

Trades executed in the T+1 Session will be registered as the following business day's trades. Together with trades executed in the following business day's T Session, these trades will undergo the standard clearing process during the standard clearing session. With after-hours futures trading, the DCASS services will start at 7:30 a.m. for respective futures products. The existing System Input Cutoff Time will remain unchanged at 6:45 p.m.

A new T+1 Clearing Session Cutoff Time will be introduced for Clearing Participants to perform post-trades adjustments for trades and position created during T+1 Session that ends 45 minutes after the close of the T+1 Session (i.e. 11:45 p.m.).

A comparison of time windows for existing and proposed clearing sessions is as follows:

Product	**Time Window**	**T Clearing Session**	**T+1 Clearing Session**
AHFT products	Existing Time Window	8:45 a.m. – 6:45 p.m.	N/A
	Proposed Time Window	7:30 a.m. – 6:45 p.m.	5:00 p.m. – 11:45 p.m.

ii. Position Recording

Positions will be maintained according to clearing dates and separate records are held at all times for T day and T+1 day positions. T day positions will be finalized at System Cutoff Time i.e. 6:45 p.m. and subject to day-end margin calculation. T+1 day positions will be finalized at T+1 Clearing Session Cutoff Time i.e. 11:45 p.m. These T+1 day positions will become T day's opening positions on the following business day, i.e. the T day's positions are made up of positions created during the T Session on that business day plus trades / post-trades executed during the T+1 Session of the previous business day.

15. **What would be the risk management arrangement for AHFT?**

Response: In the absence of a level of banking support to facilitate intra-day call capability during the T+1 Session similar to that during the T Session, the following additional risk management measures will be implemented to mitigate the counterparty risks associated with AHFT.

i. Perform monitoring of CPs' CBPL based on both the current market prices and positions at regular intervals during the T+1 Session, supplemented by ad-hoc CBPL monitoring. CPs breaching their CBPL may be requested to reduce their exposure to re-establish compliance with their CBPL and risk being disconnected from the HKEx trading system and closing out action should they fail to comply with such request or further increase their exposure.

ii. A mandatory variation adjustment and margin call to markets (based on the morning Calculated Opening Prices[1]) with T+1 Session will be introduced following the market open of each T Session to collect by **12:00 noon** both mark-to-market loss and margin of all positions including that created by trades in T+1 Session. The Calculated Opening Price is the equilibrium market price derived from the price discovery period of thirty minutes before the opening of the morning trading session.

iii. There will be no intra-day variation adjustment or margin call during the T+1 Session.

16. **If a set of revised margin rates will take effect on the next business day, would they be applied to today's T+1 session and the mandatory variation adjustment (VA) and margin call at the market open of the next day?**

Response: No, the margin rates applied to today's T session will also be applied to today's T+1 Session and the mandatory VA and margin call at the market open of the following day. New margin rates will only take effect from the commencement of trading on the next day.

17. **Would there be any additional Risk Parameter Files (RPFs) upon the launch of AHFT for CPs reference?**

[1] The Calculated Opening Price is the equilibrium market price derived from the price discovery period of thirty minutes before the opening of the morning trading session.

Response: Upon the launch of AHFT, 2 extra sets of RPFs will be disseminated to CPs for their reference. Please note that these extra RPFs are calculated based on latest market prices and are for CPs reference only. They may not be equivalent to the RPFs that require actual money settlement.

RPF Dissemination Time	Remarks
Around 4:45 p.m.	Based on the market prices near the close of T Session.
Around 11:30 p.m.	Based on the market prices at the close of T+1 Session.

18. **Users may experience slow BD4 update in Clearing Trades window during the AHFT session. What is the reason?**

Response: There are batch jobs running during the AHFT hours for the trades executed in day session, so Participants may experience delay of BD4 update or in Clearing Trades window. Please refer to BD1 or Company Trades window for immediate update of execution information.

19. **Is there any kind of order type allowed in AHT_PRE_MKT_session?**

Response: This should be the same as the normal pre-market session, i.e., no new orders can be entered but instead change (not affecting order priority)/cancel T+1 orders are allowed. Since there is no pre-opening session (auction session) for AHFT so no auction order is allowed.

20. **Would you provide a time table for trading status for HSI/HHI futures during AHFT?**

The trading status for HSI/HHI and their corresponding time during AHFT will follow the time table below:

07:30:00	CL_START
….	
…. (same as exisiting)	
….	
16:15:00	CLOSE_TODAY
16:17:00	AHT_INACT_T_ORDER
16:19:00	AHT_PRE_MKT_ACT
16:59:00	AHT_NEXT_DAY
17:00:00	AHT_OPEN_PL
23:00:00	AHT_CLOSE
23:44:00	AHT_CLR_INFO
23:45:00	CL_CLOSE